ate alongside the physical electricity market, providing a complementary financial instrument rather than being part of the physical trading or delivery process.

In March 2026, the exchange introduced 10-gram gold futures contracts, a move that could help investors trade in small quantities and drive retail participation. In May, it announced the launch of electronic gold receipts, essentially gold held in an electronic dematerialised form.

In April, it introduced dated Brent Crude oil futures contracts. These are based on the physical Platts dated Brent crude oil benchmark. Chauhan says the steps taken by Sebi to curb retail activity in the derivatives market were in the interest of investors. From the exchange's perspective, the right thing to do was to diversify.

"We need to find ways to ensure that we not only do not depend on a few products but also expand our products," he says.

Sebi has mandated exchanges to offer weekly index derivatives on only one benchmark index each, instead of weekly expiries. The NSE has been among the most impacted, say analysts.

"The NSE had five weekly expiries—Nifty 50, Bank Nifty, Nifty Financial Services, Nifty Midcap Select, and Nifty Next 50. Following the new guidelines, it retained Nifty as its weekly expiry product, while shifting the remaining indices to a monthly cycle. Consequently, NSE index option premium market share moderated from 87% in November 2024 to 72% in March 2026," say analysts at PL Capital.



**SUDIP BANDYOPADHYAY**
MARKET EXPERT

**"Financialisation of savings will remain a trend. The wealth effect will benefit capital market players over the long term. Newer revenue streams are also emerging for NSE"**

## ENSURING EFFICIENCY

Chauhan says contrary to the exchange's expectation that volumes and revenues will drop by half, last financial year, the dip was only 3%. This, Chauhan says, shows that diversification is working. More is in the pipeline, he adds.

"On a scale of three years, we have been able to reduce dependence on weekly options to 40-42%. We are now in the process of launching a coal spot exchange with some industry leaders. We also will have derivatives on top of that later," says Chauhan.

In April this year, the NSE got the nod from Sebi to invest in the proposed National Coal Exchange of India. The exchange is intended to facilitate electronic spot trading of coal through standardised contracts, enabling transparent price discovery and defined settlement mechanisms for market participants, including producers, consumers and traders.

On September 30, the NSE also received a no-objection certificate from the market regulator for proposed introduction of futures contracts on a corporate bond index. Corporate bond index futures are expected to complement the growing corporate bond market.

"India's capital markets are no longer merely reflecting economic growth. They are actively shaping it by channelling savings into productive investment, supporting entrepreneurship, fostering innovation and enabling efficient capital allocation," says Chauhan.

## ROAD AHEAD

With increased regulations, the NSE is expected to face more challenges. According to market expert Sudip Bandyopadhyay, it is expected to lose market share as competition increases. However, he also notes that the overall market size is increasing too, and that will benefit the NSE over the longer term. "Financialisation of savings is happening and will remain a trend. The wealth effect will benefit capital market players over the long term. The pie is increasing, and newer revenue streams are also emerging for NSE."

As Chauhan sums it up, going ahead, the NSE's growth will be closely linked to the growth of India, and as the economy becomes more formalised, the opportunity for market infrastructure will expand with it. BT

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